

The complaint

A limited company, which I will refer to as M, complains about the handling of its motor trade insurance claim for theft by U K Insurance Limited trading as NIG.

What happened

The following is intended only as a brief summary of events. Additionally, although other parties have been involved in the communications and actions from both sides, largely speaking, I have just referred to M and NIG for the sake of simplicity.

M held a motor trade policy underwritten by NIG. In early October 2023, M contacted NIG to claim for the theft of one of its vehicles and damage caused to another during the theft. NIG requested certain documents and the keys for the stolen vehicle from M. Some of this was provided, but it was not until January 2024 that M provided keys. NIG has since obtained a report on the keys.

M also provided the drive for its CCTV footage, but was unable to provide a password for this. So, NIG had to send this to a specialist to have the footage recovered. The footage was recovered in March 2024.

M had raised a complaint about the delays and communication issues it had experienced. NIG issued a final response to this complaint in March 2024, agreeing that there had been some delays and communication issues. It offered M £350 compensation for these.

M remained unsatisfied. It also considered NIG had enough information to settle the claim. And did not consider NIG was entitled to conduct a formal interview or to require a statement more than 30 days after the expiry of the contract of insurance.

Our Investigator considered M's complaint about the handling of the theft claim. But he thought NIG's offer of £350 was an appropriate response to the circumstances.

As M remained unsatisfied, its complaint has been passed to me for a decision.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, I have come to the same outcome as our Investigator. I'll explain why.

I should firstly say that both parties have provided detailed submissions and have referred to a number of points. Whilst I have considered all of these, I am not going to address each of them individually though. This is not meant as a discourtesy, but instead reflects the informal nature of the Ombudsman Service. I will focus on what I consider to be the key issues.

Secondly, it should be noted that, soon after this theft claim was made, M made a further claim on the policy for fire damage to a number of vehicles. A separate complaint has been made and considered by the Ombudsman Service in relation to this. The two claims, and

complaints, are distinct but many of the issues and circumstances overlap to an extent. As a result, some of the content of this decision is repeated in my decision on the other complaint.

It is not disputed that there have been some delays and communication issues from NIG's side. It is perhaps not surprising that the claim process has taken longer than it might otherwise have done though. The fact that a second claim was raised soon after the first adds a layer of complication and, I consider, warrants a more detailed investigation of this claim than might otherwise take place.

Additionally, it is clear that M did not, and has not, provided all of the evidence NIG has requested in a timely manner. Having requested the keys for the stolen vehicle at the start of the claim process, it seems that M did not send any keys to NIG for over three months. Given the policy includes conditions relating to how keys are stored, etc. I do not consider that NIG requiring the keys to be provided, for a vehicle that was stolen, to be unreasonable. And M has an obligation under the terms of the policy to provide NIG with evidence that is reasonably required.

Given M had not provided the evidence NIG reasonably required to investigate the claim, I do not consider it inappropriate that no claim decision was made prior to when M provided keys to NIG. And once these were provided, it is reasonable that NIG then carry out its investigation.

This investigation would also have included recovering and viewing the CCTV footage. It seems that the disc with the footage may have been dropped by NIG's agent when it was collected from M. However, I haven't seen anything to suggest this has delayed or impeded the investigation process. M was unable to provide a password to access the disc, so it was necessary to send this to a specialist. And the specialist has since been able to recover the footage.

This footage was only recovered after NIG's final response to the complaint. So, it is reasonable that a claim decision had not been made at the time of this response. My role is to consider the circumstances only up until the point of such a final response. Any subsequent issues would need to be considered separately.

However, in an attempt to be pragmatic, I will briefly comment on some further issues. It may be that NIG has not come to a decision on this theft claim as it requires a formal interview with M. M's willingness to engage with this process is not clear. It has indicated such a willingness, but has also said that it is not contractually obliged to provide evidence more than 30 days after the expiry of the policy. This point has again been made subsequent to our Investigator having issued his findings. So, it does seem there is some unwillingness on M's part to engage with this process.

Prior to issuing its final response on this theft related complaint, NIG responded to M's complaint on the fire claim. In doing so, it requested M contact its agent to arrange for this interview. It doesn't seem M has done this. So, I do need to consider whether such a request – having already been made in relation to this theft claim – is reasonable.

The policy says that evidence NIG requires needs to be provided within 30 days of the event giving rise to the claim. This time limit is intended to speed up the process in which a policyholder provides this evidence. I do not consider this places a limit on when such evidence can be requested by an insurer – though I would expect it to do so within a reasonable time, which would depend on the circumstances.

There is no reference, to a time limit relating to the expiry of the policy. There is reference in the terms here to a time limit of 30 days after the end of the indemnity period. This relates to

other sorts of claims not relevant to the current one, such as for business interruption. To clarify things for M, the indemnity period is the period a claim of this nature is covered for. This is different to the period of insurance, which is the period the policy provides cover for any new claim. This difference is because claims for business interruption, etc. are ongoing by nature and the indemnity period is the length such a claim will be covered for. For example, if a business is interrupted for six months, the time limit would be 30 days after this six-month period. With M's claim for loss/damage, the time limit in the policy for M to provide the evidence is 30 days from when the loss/damage occurred.

It also does not matter that the actual policy has expired; NIG is investigating a claim made under the policy, so the terms of the policy – as well as more general expectations and requirements – continue to apply. In practice, I would expect an insurer to provide a reasonable time limit for a customer to provide required evidence from the date that evidence is requested. And I would expect the insurer to request this evidence reasonably soon after it becomes aware it is needed.

The policy also makes specific reference to providing a statutory declaration of truth if requested. There is no explicit reference to a formal interview process within the policy terms. However, given the circumstances of the claims – both this theft claim and the separate fire claim – it is understandable that NIG would want to formally interview M / its director about the circumstances of the claims. This is not unusual. And, in the circumstances, I consider this request to be reasonable. Given the points above, I also consider it reasonable that this request was made later in the investigation process. As NIG obtained more information, it naturally follows that it had queries relating to this information that it wanted to formally discuss with M.

Although the policy terms do not specifically refer to M needing to consent to an interview, in the circumstances, I consider NIG's request is reasonable and that it falls under M's general obligation to provide required evidence. I consider the request reasonable, and I also consider it fair and reasonable that NIG does not reach a decision on and/or does not meet the claim until M has complied with this request.

M has referred to other cases dealt with by the Ombudsman Service where it was found that requests for interviews were not reasonable. But the Ombudsman Service considers each complaint on its own merits and the circumstances of those other complaints were different. For example, they included requests for multiple interviews, etc. In M's case, whilst I appreciate there have been a number of informal discussions with NIG and its agents, there has been no formal interview.

M has also mentioned there having been an offer made on part of this claim. It isn't clear whether this actually happened – NIG's final response refers to it, but there is limited detail in the evidence provided to confirm this. If an offer was made, it does not seem M accepted it. And the circumstances are that the claim has not been settled. So, it seems likely this was an error in NIG's letter. It also appears that a complaint may have been logged earlier than it was.

I have considered the issues with communication generally, and with the delays in the process that NIG are responsible for. However, I consider that the offer of £350 made by NIG adequately compensates M for this. Whilst I appreciate M's director may have experienced frustration with this process, the complainant in this case is the limited company. A limited company cannot experience distress. I consider £350 is therefore appropriate redress for the inconvenience caused to M.

My final decision

My final decision is that the offer made by U K Insurance Limited trading as NIG is fair and reasonable, and I do not ask it to do anything more.

Under the rules of the Financial Ombudsman Service, I'm required to ask M to accept or reject my decision before 30 August 2024.

Sam Thomas
Ombudsman